NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH (COURT- V)

Company Petition (CAA) No. 55 (PB) OF 2020
Connected with
Company Application (CAA) No. 136 (PB) OF 2018
(Under Section 230 & 232 of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF SCHEME OF AMALGAMATION:

WESTERN IMPEX PRIVATE LIMITED
.....Petitioner No. 1/Transferor Company

AND

DATAVIDEO TECHNOLOGIES INDIAPRIVATE LIMITED
.....Petitioner No. 2/Transferee Company

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order Delivered on: 19.07.2022

Section: 230 to 232 of the Companies Act, 2013

CORAM

SHRI P. S. N. PRASAD, MEMBER (JUDICIAL)

SHRI RAHUL BHATNAGAR, MEMBER (TECHNICAL)

PRESENT

For the Petitioners:	Adv. Manoj Kumar Garg, Adv. Pulkit Atal
For the OL:	Adv. Hemlata Rawat
For the RD:	Adv. Swechcha Mishra
For the IT Dept.:	Adv. Ruchir Bhatia, Sr. Standing Counsel, Adv. Shlok Chandra, Jr. Standing Counsel and Adv. Mansie Jain

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ORDER

AS PER SHRI P. S. N. PRASAD, MEMBER (JUDICIAL)

1. The present Petition is filed by Petitioner Companies viz., *Western Impex Private Limited* (Transferor Company) and *Datavideo Technologies India Private Limited* (Transferee Company) under Sections 230 & 232 of the Companies Act, 2013 (Act, 2013) r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (Rules) for the Sanction of the proposed Scheme of Amalgamation (Scheme) of the Petitioner Companies, their respective Shareholders and Creditors. The registered offices of the Petitioner Companiesare situated in the NCT of Delhi and are under the jurisdiction of this Tribunal.

2. The Board of Directors of the Petitioner Companies on 24.11.2017 considered and unanimously approved the proposed Scheme.

3. The Transferor Company is a private limited company incorporated on 01.09.2004 having Company Identification Number U51909DL2004PTC128725 engaged in the business of dealing of industrial and consumer goods and general merchandise items. The Transferee Company is a private limited company incorporated on 24.06.2008 having Company Identification Number U51103DL2008PTC179970 engaged in the business of dealing of Electronic telephone, electronic telephonic equipment and electric gadgets.

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4. It is stated that the Authorized, Issued, Subscribed and Paid up Share Capital of the Petitioner Companies as per the Financial Statements for the period ended 31.03.2017 is as under:

Sl No.	**Company**	**Authorised Share Capital**	**Issued, Subscribed and Fully Paid-up Share Capital**
1	Transferor Company	Rs. 1,00,000/- divided into 10,000 equity shares of Rs. 10 each.	Rs.1,00,000/- divided into 10,000 equity shares of Rs. 10 each.
2	Transferee Company	Rs. 12,00,00,000/- divided into 1,20,00,000 equity shares of Rs. 10 each.	Rs.11,88,34,650/- divided into 1,18,83,465 equity shares of Rs. 10 each.

5. The Rationale of the proposed Scheme of Amalgamation is elaborately described in the present Company Petition which may be summarized as under:

   a. Amalgamating Transferor Company and the Transferee Company will give the consolidated company better finances, facilitate adequate resource mobilization to sustain growth;

   b. Strengthening and consolidating the position of the Transferee Company and enabling it post-merger to participate more

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vigorously and profitably in an increasingly competitive and liberalized market;

c. Enabling better leverage of facilities, infrastructure and human resources and for better administration;.

d. Augmenting and strengthening core businesses of the Transferee Company and resulting in enhancement of the shareholders' value of Transferee Company;

e. Enabling the amalgamated entity to raise funds from the financial institutions on better terms. The synergy of the amalgamation will improve operational efficiency, integrated management functioning and will enhance the share value for the benefit of shareholders of the existing entities;

f. The merger of Transferor Company into Transferee Company will result in reduction of overheads, administrative, managerial and other expenditure, and bring about operational rationalization, organizational efficiency, and optimal utilization of various resources;

g. The merger will result in significant reduction in the multiplicity of legal and regulatory compliances required at present to be carried out by Transferor Company and the Transferee Company, and also avoid duplication of administrative functions and eliminate multiple record-keeping;

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h. The said Scheme is beneficial to the Petitioner Companies, their shareholders, creditors, employees and all concerned and will enable these companies to achieve and fulfill their objectives more efficiently and economically; and

i. The value o fthe shares of the combined entity shall enhance the shareholders' value by becoming part of stronger operating entity, rationalization of inter-company transactions etc.

6. It is stated by the Petitioner Companies that there are no pending proceedings for inspection, inquiry or investigation under the provisions of the Act, 2013 or under the provisions of Companies Act, 1956.

7. The Petitioner Companies have stated that the accounting treatment proposed in the Scheme of Amalgamation is in conformity with the accounting standards prescribed under Section 133 of the Companies Act, 2013. The Certificates from the respective Statutory Auditors of the Transferor Company and the Transferee Company are annexed and collectively marked as Annexure P-10 (Colly).

8. It is also submitted that the exchange ratio of shares of the Transferor Company for the Shares ofthe Transferee Company is not required since the Transferee Company holds hundred percent (0.1% through nominee shareholder) shares of the Transferor Company, and as such the Transferor Company is wholly owned subsidiary ofthe Transferee Company.

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9. As per records, this Tribunal vide its Order dated 11.05.2020, dispensed with the convening and holding the meetings of the Equity Shareholders and Unsecured Creditors of the Transferor Company and directed for holding of the meeting of Equity Shareholders and Unsecured Creditors of Transferee Company. Meetings were convened and held on 27.06.2020.

10. The Scheme was approved unanimously by the Equity Shareholders and Unsecured Creditors of the Transferee Company in their respective meetings. The common Chairperson appointed for the meetings has filed his reports dated 03.07.2020 which are annexed as Annexure P-11 (Colly) to the Petition.

11. This Tribunal vide its Order dated 10.09.2020 directed to issue notice of hearing in respect of present Company Petition to the Statutory Authorities and also to make paper publication in this respect in "Financial Express" (English, Delhi Edition) and "Jansatta" (Hindi, Delhi Edition).

12. In compliance thereof, the Petitioner Companies have filed Affidavit of service and publication, dated 22.09.2020, confirming that notices, have been duly published in "Financial Express" (English, Delhi Edition) and "Jansatta" (Hindi, Delhi Edition) on 18.09.2020. The Petitioner Companieshave also served notice of the Company Petition to (a) the Central Government through the office of the Regional Director (Northern Region), Ministry of Corporate Affairs,

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New Delhi on 18.09.2020; (b) the Registrar of Companies, New Delhi on 17.09.2020; (c) the Official Liquidator, New Delhi on 18.09.2020; (d) the Income Tax Department on 21.09.2020.

13. In response to the above stated notice, the Regional Director has filed its report in the form of an affidavit dated 06.04.2022, along with the reply of the Petitioner Company dated 13.01.2021 and the report of the Registrar of Companies dated 17.07.2020. The Regional Director in its report, upon examination of the Scheme, reply of the Petitioner Companies and the report of the RoC, submitted that the scheme has been drawn in line with the provisions of Section 230-32 of the Companies Act, 2013.

14. Pursuant to order dated 28.04.2022, the report of the Official Liquidator dated January, 2021 has also been filed wherein it is stated that no complaint has been received against the proposed Scheme from any person/party interested in the Scheme in any manner and that the report is based on the documents submitted by the Petitioner Companies. It is also stated that the affairs of the Transferee Company does not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest as per the provisions of the Act, 2013 or Companies Act, 1956. However, it is submitted that the Petitioner Transferee Company is not a subject matter of dissolution pursuant to the Scheme.

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15. The Income Tax Department has also filed its report dated 27.01.2022 and submitted that the Department has no objections in proposed Amalgamation Scheme.

16. In view of the foregoing, upon considering the approval accorded by the members and creditors of both the Petitioner Companies to the proposed Scheme, as well the reports filed by the Regional Director, (Northern Region), Income Tax Department, Official Liquidator and further considering the affidavits filed by the Petitioner Companies, there appears to be no impediment in sanctioning the proposed Scheme. Consequently, sanction is hereby granted to the Scheme proposed by the Petitioner Companies under Section 230 & 232 of the Companies Act, 2013. The Petitioner Companies, however, shall remain bound to comply with all statutory requirements in accordance with law.

17. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the aforesaid sanction granted by this Tribunal to the Scheme, will not come in the way of action being taken, albeit, in accordance with law, against any of the concerned person, Director and Officials of the Petitioner Companies.

18. While approving the scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes, GST, or any other

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charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

19. THIS TRIBUNAL FURTHER ORDERS THAT:

(i) Upon the sanction becoming effective from the appointed date of amalgamation i.e., 01.04.2017, the Transferor Company shall stand dissolved without undergoing the process of winding up.

(ii) All benefits, entitlements, incentives and concessions under incentive schemes and policies that the Transferor Company are entitled to including under Customs, Excise, Service Tax, VAT, Sales Tax, GST and Entry Tax and Income Tax laws, subsidy receivables from Government, grant from any governmental authorities, direct tax benefit/exemptions/deductions, shall, to the extent statutorily available and along with associated obligations, stand transferred to and be available to the Transferee Company as if the Transferee Company was originally entitled to all such benefits, entitlements, incentives and concessions;

(iii) All contracts of the Transferor Company, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the

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Transferor Company, the Transferee Company had been a party or beneficiary or obliged thereto;

(iv) All the employees of the Transferor Company shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Transferor Company, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(v) All liabilities of the Transferor Company, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Company Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(vi) All proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

(vii) The Income Tax Department is permitted to retain its recourse for recovery in respect of demand and any other future liabilities of

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the Transferor Company and the Transferee Company, in respect of the assets sought to be transferred under the proposed scheme.

(viii) That any person interested shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

20. That the Petitioner Companies shall within thirty days of the date of the receipt of this Order cause a Certified Copy of this Order to be delivered to the Registrar of Companies for registration and on such Certified Copy being so delivered, the Transferor Company shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Company on the file kept by him in relation to the Transferee Company and the files relating to all the Petitioner Companies shall be consolidated accordingly.

21. The Company Petition is ALLOWED in the aforesaid terms.

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(RAHUL BHATNAGAR)
Member (T)

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(P. S. N. PRASAD)
Member (J)